

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 23-02

20230930-DK-BUTTERFLY-1, INC. F/K/A BED BATH & BEYOND INC. v.
ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED

COMPLAINANT AND RESPONDENTS' JOINT STATUS REPORT

Pursuant to the Presiding Officer's December 23, 2024 Order Extending Time For Complainant to Respond to Motion to Strike Brief (Dkt. 103) (the "Order"), Complainant 20230930-DK-Butterfly-1, Inc. f/k/a Bed Bath & Beyond Inc. ("Complainant") and Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (together, "Respondents" and, collectively with Complainant, the "Parties"), by their respective undersigned counsel hereby submit this Joint Status Report providing the Parties' respective positions regarding the matters discussed in the Presiding Officer's Order.

COMPLAINANT'S POSITION

It remains Complainant's position that the present filings, as with the Respondents' motions to strike Complainant's Opening Brief and exclude Complainant's expert testimony, are an unnecessary use of judicial and party resources entirely precipitated by Respondents' failure to comply with their duties to confer with Complainant under 46 C.F.R. Section 502.71(a) as well as the Presiding Officer's direct instruction that "[a]ny *objections to arguments or evidence, including requests to strike, should be included in the parties' briefs, not filed as separate motions.*" Order Denying Complainant's Second Motion to Amend the Complaint, Dkt. 86 (the "2AC Order"), at 3 (emphasis added). Rather than complying with the foregoing, on December

19, 2024, Respondents simply informed Complainant of their intent to file a *Daubert* motion to exclude the testimony of Complainant's expert, Mr. John D. McCown, and a separate motion to strike Complainant's Opening Brief. In that initial correspondence, Respondents nowhere invited any meeting or discussion with Complainant as to Respondents' two forthcoming motions and, instead, simply informed Complainant that Respondents intended to file their two motions that same day, citing a potential government shutdown as justification.

In a good-faith effort to narrow the areas of disagreement as required by 46 C.F.R. Section 502.71(a), Complainant sought clarifications via email, asking for, *inter alia*:

1. Respondents' asserted bases for their motions;
2. Respondents' basis for believing that the possibility of a government shutdown justified a departure from the ordinary notice and conference requirements; and
3. Respondents' basis, given the Presiding Officer's 2AC Order instructing the Parties to avoid additional motion practice after the close of discovery, for considering separate motion practice necessary instead of addressing their concerns in their opposition merits brief.

Despite Complainant's attempts to confer with Respondents to avoid unnecessary motion practice, Respondents nevertheless filed their Motion to Strike (Dkt. 100) (the "Motion to Strike Opening Brief"), relating to Complainant's filing of proposed Findings of Fact ("FOF") and Conclusions of Law ("COL", and together with the FOF, the "FOF/COL") in connection with its Opening Brief, and Motion to Exclude the Testimony of John D. McCown (Dkt. 101) (the "Motion to Exclude Testimony").

Following the Presiding Officer's December 23 Order, the Parties met telephonically to discuss the instant Joint Status Report on January 9, 2024, and exchanged drafts of their respective positions on January 15. Based on those discussions, Complainant's position to the below issues is as follows:

Respondents' Motion to Strike Opening Brief: Complainant contends that the entirety of its filings in connection with its Opening Brief, including the accompanying FOF, COL, and Appendix, are fully compliant with any and all relevant rules, orders of the Presiding Officer, and standard litigation practices before courts and regulatory agencies such as the Federal Maritime Commission ("FMC"). Complainant's inclusion of its COL with its Opening Brief also caused no prejudice to Respondents. Moreover, as discussed Complainant believes this issue could have easily been resolved by adequately meeting and conferring.

Nevertheless, in the spirit of compromise and to avoid any further unnecessary motion practice, pursuant to the Presiding Officer's instructions in the December 23 Order, Complainant is filing concurrently herewith a lightly revised amended opening brief (the "Amended Opening Brief"), which still falls within the 105-page limit set by the Presiding Officer, deletes all citations and references to the COL, and incorporates directly into the body of the Amended Opening Brief a handful of citations that were included in greater detail in the COL. Importantly, the Amended Opening Brief contains ***no new arguments, citations, or other substantive content***, but only incorporates information that was already included in Complainant's previously filed Opening Brief, FOF, and COL. As such, with the light revisions, the Amended Opening Brief may be read completely without reference to the COL, thus rendering Respondents' Motion to Strike Opening Brief effectively, if not procedurally, moot.¹ Complainant is also filing, contemporaneous with this Report, a redline showing the light substantive changes between the original Opening Brief and the Amended Opening Brief for use by the Presiding Officer and counsel for the Respondents.

¹ In other words, the COL is effectively superfluous to the Presiding Officer's consideration of the merits, and may be disregarded by the Presiding Officer as may be deemed appropriate.

During the Parties' meet and confer process, counsel for Respondents informed Complainant's counsel that Respondents intend to maintain their Motion to Strike Opening Brief in light of Complainant's decision not to file an amended FOF/COL that eliminates Complainant's COL. Complainant notes that the Presiding Officer's December 23 Order does not order or provide for Complainant to file an amended FOF/COL. Accordingly, Complainant has not filed an amended FOF/COL. As such, it is Complainant's position that filing an amended FOF/COL would be inconsistent with the Presiding Officer's December 23 Order, which permitted Complainant to file its Amended Opening Brief and left it to the Presiding Officer's discretion to determine the appropriate course of action, including as to the current schedule for merits briefing, in light of the content of Complainant's Amended Opening Brief and the Parties' positions.

Respondent's Motion to Exclude Testimony: Complainant contends that Respondents' Motion to Exclude Testimony is procedurally improper and in direct contravention of the Presiding Officer's 2AC Order. Respondents' Motion to Exclude Testimony itself concedes that it does not seek relief on the merits, *see* Motion to Exclude Testimony at 1 n.1, and as such is a non-dispositive motion. Respondents' Motion to Exclude Testimony is directed solely toward Respondents' (baseless) contention that the report and testimony of Complainant's expert, John D. McCown, are inadmissible under Rules 402, 403, and 702 of the Federal Rules of Evidence. Such requested relief explicitly falls within the Presiding Officer's instruction that "[a]ny ***objections to arguments or evidence, including requests to strike, should be included in the parties' briefs, not filed as separate motions.***" 2AC Order, at 3 (emphasis added). Accordingly, Respondents could and should have simply included the arguments raised in the Motion to Exclude Testimony in their forthcoming response to Complainant's (Amended) Opening Brief. Thereafter, in the normal course, Complainant would incorporate its response to Respondents' arguments in its merits reply

brief, all of which the Presiding Officer would then be able to consider on the merits. Accordingly, consistent with the 2AC Order, Complainant respectfully requests that the Presiding Officer strike Respondents' Motion to Exclude Testimony and instead order Respondents to include the arguments raised therein in their upcoming merits response.

This is, in fact, exactly what Administrative Law Judge Linda S. Crovella ordered in an exactly analogous situation arising just two months ago in another case pending before the FMC involving some of the same attorneys involved in this case, *Visual Comfort v. COSCO Shipping Lines (North America) Inc.*, FMC Dkt. 24-01. In *Visual Comfort*, Judge Crovella entered an order instructing the parties to “address [the issue of whether to exclude expert reports from admission into evidence] in their [merits] briefs.” Order Rejecting Motion to Strike, FMC 24-01 (Dkt. 57), at 1-2 (quoting Order Denying MTD, dated October 8, 2024). In due course, the complainant filed its opening brief and accompanying documents on November 8, 2024 (FMC 24-01, Dkt. 52). Days later, on November 18, 2024, in connection with a report by the complainant's retained expert, Mr. John D. McCown (*i.e.*, the same expert retained by Complainant in the instant case), the respondent filed a non-dispositive motion to strike the complainant's expert report (FMC 24-01, Dkt. 56). Within two days, on November 20, 2024, Judge Crovella *sua sponte* issued an order rejecting with prejudice COSCO's motion to strike, stating that the “***exclusion of the expert's report(s) should be addressed in COSCO's brief, as previously instructed***.” Order Rejecting Motion to Strike, FMC 24-01 (FMC 24-01, Dkt. 57) (emphasis added). The respondent then included the issue of exclusion of expert evidence in its merits opposition on December 8, 2024 (FMC 24-01, Dkt. 65) to which the complainant responded in its merits reply on December 20, 2024 (FMC 24-01, Dkt. 71).

There is no reason in this case to deviate from the Presiding Officer's 2AC Order or Judge Crovella's similar approach in *Visual Comfort*.

Should the Presiding Officer order a different approach in this case with respect to Respondents' Motion to Exclude Testimony, Complainant respectfully requests in the alternative that the Presiding Officer enter an order permitting Complainant to file a separate response to the Motion to Exclude Testimony, pursuant to the ordinary requirements of 46 C.F.R. Section 502.71, on the same date that Complainant's merits reply is due.² Complainant further requests that such order also prohibit Respondents from incorporating by reference their Motion to Exclude Testimony into their upcoming merits response brief, since doing so would effectively be an end-run around the page limits set by the Presiding Officer for merits briefing.

Merits Briefing Scheduling: During the Parties' meet and confer process, Respondents requested a two-week extension to their deadline to file their merits response, citing the issues raised in Respondents' Motion to Strike and counsel availability. However, as discussed above, given that Complainant's Amended Opening Brief filed herewith contains ***no new arguments, citations, or other substantive content*** that were not already included in its originally filed Opening Brief, FOF, and COL, and renders Complainant's COL effectively superfluous to the Presiding Officer's consideration of the merits, Complainant does not consider there to be any substantive basis for a further extension of Respondents' deadline, especially where such an extension (and the corresponding extension to Complainant's reply deadline that it would necessitate) would operate to unduly limit the Presiding Officer's time to prepare and issue an

² During the Parties' meet and confer process, Respondents agreed that Complainant should be allowed to address Respondents' Motion to Exclude Testimony at the same time as Complainant's merits reply is due. Moreover, the Presiding Officer's December 23 Order states that "Respondents' Motion to Exclude Testimony will be addressed with the merits of the proceeding." Order at 1.

Initial Decision. Counsel for Complainant stated that they would not oppose a requested extension of a few days to potentially address any formatting changes resulting from changed pagination within the Amended Opening Brief, but Respondents have, as set forth herein, requested more.

Should the Presiding Officer determine that a modification of Respondents' merits response brief deadline is merited, Complainant respectfully requests a corresponding extension of its deadline for its merits reply brief and response to Respondents' Motion to Exclude Testimony. Specifically, should the Presiding Officer grant Respondents' requested 30-day extension to Respondents' deadline to file Respondents' opposition to Complainant's Amended Opening Brief, Complainant requests an additional 21 days (totaling 42 days) from the date Respondent's merits opposition is due in which to file Complainant's merits reply and response to Respondents' Motion to Exclude Testimony.

RESPONDENTS' POSITION

Respondents' Motion to Strike the Brief

Prior to filing its Opening Brief, Complainant moved for an expanded page limit. Over Respondents' opposition, an expanded page limit of 105 pages—25 pages more than the standing 80-page briefing limit—was granted. Complainant filed its Opening Brief on December 13, 2024, after also receiving a three-day extension to file same. The Opening Brief is 96 pages, but excludes conclusions of law, which are appended to the brief in a separate document entitled Findings of Fact and Conclusions of Law ("FOF/COL"). This separate document, running another 194 pages, includes at least 33 pages of legal analysis (plus those interspersed with the "FOF" portion of that document), bringing Complainant's total pages of argument to 129, or 24 pages—22%—beyond the Court's prescribed limit.

On December 20, 2024, Respondents moved to strike the brief for exceeding the page limit. On December 23, 2024, without opposition from Respondents, the Presiding Officer granted Complainant an extension until January 17, 2025 to respond to Respondents' motion to strike the brief. The Presiding Officer also ordered the parties to "file a joint status report proposing any extension to the remaining briefing dates." Pursuant to the Presiding Officer's Order, Counsel for each party conferred on January 9.

Complainant has taken the position that its December 13, 2024 Opening Brief complied with the page limits as submitted, but that it will file a "lightly revised opening brief that is within the 105-page limit." Inexplicably, Complainant "does not intend to file amended proposed Findings of Fact or Conclusions of Law," instead intending to file more overall pages by adding to its Opening Brief and not revising its FOF/COL. Complainant's willingness to flout the rules is explicit, as shown by its overt intention to create more busy-work, intentionally wasting the Court and Respondents' time by refusing to revise its FOF/COL, despite stating that the revisions to the Opening Brief "will effectively render the COL superfluous." Rather than be permitted to litter the record with an unknown number of "superfluous" pages that Respondents will nevertheless have to respond to, Complainant should be required to properly amend its FOF/COL or have the entire submission stricken.

In addition to refusing to confine its Opening Brief and conclusions of law to the appropriate page limit, Complainant has also wholly refused to agree to extend Respondents' time to file its Opposition Brief. Despite requesting additional time to respond to the motion to strike and ultimately deciding to add pages to its submission rather than reduce them, Complainant also takes the incredible position of opposing any extension of Respondents' time to answer the Opening Brief, arguing that the revisions "will not introduce any new substantive content not

already contained in [its] previously filed papers.” Respondents can only conclude that BBBY’s position constitutes bad faith, as until there is a ruling on the motion to strike, Respondents’ do not know which portions of Complainant’s Opening Brief require response and which do not.

An analysis of each party’s deadlines also shows the indefensibility of Complainant’s position to deny any extension to Respondents. For its part, Complainant (i) had months to prepare its Opening Brief, (ii) requested and received an expanded page limit, (iii) received a three-day extension for its Opening Brief deadline and a one-week extension to file its Reply Brief, (iv) submitted an Opening Brief in excess of the expanded page limit, (v) requested and was granted an extension of its time to respond to Respondents’ motion to strike the brief, and (vi) took that extra response time to add more pages to its Opening Brief.

On the contrary, Respondents (i) were given an additional 18 days to file their Opposition Brief, commensurate with the expanded page limit granted over Respondents’ opposition, (ii) were forced to spend time moving to strike the Opening Brief for exceeding the page limit, (iii) agreed to Complainant’s request for additional time to respond to the motion to strike, (iv) has to respond to Complainant’s as-yet submitted revised Opening Brief, (v) has to identify and respond to Complainant’s “superfluous” sections in its FOF/COL, (vi) has to await the Presiding Officer’s ruling on the motion to strike before having any certainty as to what in the brief requires a response, and (vii) despite the foregoing, were denied the common courtesy of an extension of time to file their Response Brief. In sum, based upon the existing deadline, Respondents are obligated to file a responsive brief to BBBY’s 105-page brief (without having yet seen the final iteration of BBBY’s brief), respond to 194 pages of BBBY’s findings of fact and conclusions of law, and file their own proposed findings of fact, all by January 28, 2025.

Complainant's decision to steam right by the Presiding Officer's page limits and largely ignore the December 23, 2024, Order is an affront to the litigation process, the Presiding Officer, and Respondents. Given Complainant's resolve to ignore the Presiding Officer's admonishments regarding exceeding the page limit, Respondents maintain their request that the Opening Brief be stricken in its entirety. Alternatively, given Complainant's excessive brief, refusal to abide by the page limits, and willful prejudicial delay, if the Court declines to strike the Opening Brief in its entirety, Respondents respectfully request an additional 30 days to submit the Response Brief after the Presiding Officer rules on the motion to strike or from January 28, 2025, whichever is later.

Respondents' Motion to Strike McCown's Testimony

The December 23, 2024, Order does not invite or contemplate Complainant's inclusion of argument relating to Respondents' Motion to Exclude Testimony of John D. McCown. In fact, the Order addresses the Presiding Officer's decision as to the motion to exclude McCown, clearly stating, "Respondents' Motion to Exclude Testimony will be addressed with the merits of the proceeding." As such, Respondents simply note that the separate filing of their *Daubert* motion is procedurally proper given that the motion to exclude Complainant's expert is a motion invoking the Presiding Officer's gatekeeping function and calling on the specific rules of evidence pertaining to experts, thus falling outside of the Presiding Officer's 2AC Order, which directs the parties to include in their briefs objections to evidence the other party includes or relies upon in its brief. Complainant's reference to another judge's case management order has absolutely no bearing on this matter, especially given the far greater factual and legal complexity at issue in this case.

Absent a specific case management order from the Presiding Officer—which does not exist here—argument regarding admissibility invoking the Presiding Officer's gatekeeping function is

properly address in a separate motion, while the weight and credibility of McCown’s testimony are issues properly raised in the merits brief. To the extent Complainant is fearful of running out of pages to respond to admissibility arguments relating to McCown—though Respondents wonder what more could be said about the meritless claims at this point—Respondents have no objection to Complainant filing a response to the motion to exclude McCown’s testimony separately from its Reply Brief.

Requested Briefing Schedule

The Opening Brief was due December 13, 2024. It has now been over a month since the Opening Brief deadline and there remains no properly submitted brief to which Respondents can structure a response in just two weeks. While Respondents have conferred in good faith to attempt to keep the briefing moving, Complainant’s refusal to abide by the rules or extend common courtesy has caused, and continues to cause, additional delay that directly prejudices Respondents’ ability to prepare and submit its Response Brief. That Complainant now describes its COL as superfluous is of no moment as Respondents have still had to waste time combing through the improper additional pages. Further, until the Presiding Officer strikes such added COL, Respondents must assume a response is required, justifying the extension requested.

For the reasons described herein, Respondents request that the Opening Brief be stricken, or alternatively, that Respondents be granted an additional 30 days to submit their Brief after the Court rules on the motion to strike or from January 28, 2025, whichever is later. Finally, in keeping with the Presiding Officer’s Order of December 5, 2024, Respondents propose a deadline of 21 days after Respondents’ Opposition Brief deadline for Complainant’s Reply Brief.

Dated: January 17, 2025

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Respectfully submitted,

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